KAPASA MAKASA UNIVERSITY

Department of Agriculture and Aquatic Sciences

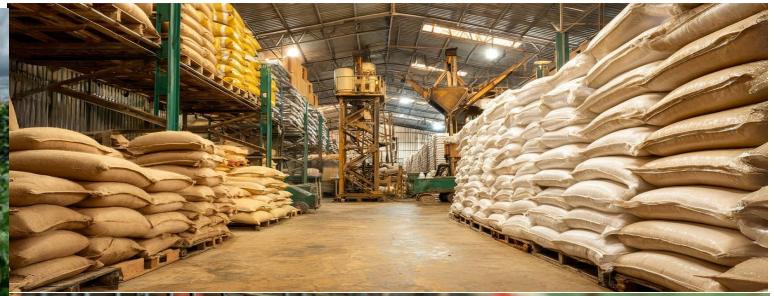
Agribusiness Management (SA 500)

Lecture 1: Introduction to Agribusiness Management

Lecturer: Loyce Mwila Chama

Lecture 1: Introduction to Agribusiness Management









“Agribusiness Is Not Farming. It Is an interconnected economic System.”

Activity: “Breakfast Challenge”

What did you eat this morning?

List all of the answers:

How many businesses were involved before it reached you?

- Who produced the seed?
- Who transported the grain?
- Who milled it?
- Who packaged it?
- Who financed it?
- Who regulated it?

“That network you just described is AGRIBUSINESS.”

Definition of Agribusiness

Now, look at the following terms and construct your own definition of Agribusiness:

- Farm supplies
- Production
- Processing
- Distribution
- Inputs
- Consumers

Objectives

By the end of this lecture, students should be able to:

- Explain the concept and definition of agribusiness.
- Describe agribusiness as a system.
- Give an account of the origin and evolution of agribusiness.
- Clearly describe the scope of agribusiness.
- State and explain the distinguishing characteristics of agribusiness products and markets.
- Explain the importance of agribusiness in Zambia.
- Discuss the challenges facing the agribusiness sector.

Definition of Agribusiness

According to Davis and Goldberg (1957):

- “Agribusiness is the sum total of all operations involved in the manufacture and distribution of farm supplies; production operations on the farm; and the storage, processing, and distribution of farm commodities and items made from them.”

According to Downey and Erickson (1987):

- “Any organization supplying farm inputs or services, producing agricultural commodities, processing them, or distributing them to consumers qualifies as an agribusiness enterprise.”
- Agribusiness encompasses input suppliers, producers, processors, marketers, and distributors.
- Agribusiness is an integrated system of all economic agricultural activities.

Definition of Agribusiness Management

According to Downey and Erickson (1987):

- "Agribusiness management is the application of management principles to the food and fibre system."

According to Kay, Edwards, and Duffy (2012):

- "The coordination of the production and marketing of agricultural products and services."

Agribusiness Management Involves:

- Organizing resources
- Coordinating activities
- Making decisions
- Achieving efficiency, profitability, and sustainability

Agribusiness as a System

Nine students to come in front and get assigned the following roles:

(i) Seed & Fertilizer company
(ii) Maize Farmer
(iii) Transporter
(iv) Processor
(v) Wholesaler
(vi) Retailer
(vii) Consumer
(viii) Bank
(ix) Government regulator

What happens if:

1. Drought occurs
2. Fuel price increases
3. Government bans exports
4. Bank refuses credit
5. Who is affected?
6. How does it spread?

Agribusiness as a System

Goldberg (1968) describes Agribusiness as:

- "A system that includes the input industries, the farm sector, and the processing and distribution sectors that handle agricultural products."

The food and Agricultural Organization (FAO) describes agribusiness as:

- "The set of economic activities related to the production, processing, marketing and distribution of agricultural products."

Thus, Agribusiness is a system comprising:

- Input industries
- Farm production units
- Agro-processing firms
- Storage and transport
- Support services

Agribusiness as a System

Agribusiness Value Chain

According to the World Bank (2018):

"An agricultural value chain refers to the full range of activities and actors that bring an agricultural product from input supply and production through processing, marketing and final consumption."

Value Chain Flow:

Input Supply → Production → Processing → Marketing → Consumption

Agribusiness as a System



- Value is added at each stage
- Coordination reduces transaction costs
- Efficient management improves profitability

Origin of Agribusiness

- Originated in the United States
- Formally introduced in 1957 by John H. Davis and Ray A. Goldberg of Harvard University
- Agriculture became commercialized
- Increasing interdependence among agriculture, industry, and distribution systems

Evolution of Agribusiness

(i) Traditional Agriculture

- Subsistence-oriented
- Labour-intensive
- Localized production and consumption

(ii) Commercialization (1950s–1970s)

- Mechanization
- Improved seed and fertilizers
- Growth of food processing

Evolution of Agribusiness cont,....

(iii) Expansion of Value Addition (1970s–1990s)

- Large-scale food processing
- Packaging and branding
- Cold storage and logistics

(iv) Globalization (1990s–2000s)

- Global value chains
- Export-oriented agribusiness
- Standardization of food safety

Evolution of Agribusiness cont,....

(v) Modern Agribusiness (2000s–Present)

- Digital technologies
- Sustainability
- Traceability
- Food systems approach

Evolution in Zambia



Evolution in Zambia

- Smallholder agriculture historically dominated
- State-led marketing systems before liberalization
- Economic reforms in the 1990s
- Growth of maize, sugar, beef, poultry, dairy, oilseeds



Evolution in Zambia

- Emphasis on commercialization
- Agro-industrialization
- Employment creation
- Poverty reduction



Relationship between Agribusiness and Other Disciplines

- Agribusiness and Economics
- Agribusiness and Management
- Agribusiness and Environmental Science
- Agribusiness and Technology
- Agribusiness and Entrepreneurship

Relationship with Economics

Economics analyses:

- Input and output pricing
- Supply and demand
- Cost and profit
- Market structure and competition
- Agricultural and trade policies

Economic principles guide:

- Crop choice
- Pricing decisions
- Investment decisions
- Policy assessment

Relationship with Management

Management functions in agribusiness:

- Planning
- Organizing
- Directing
- Controlling

Focus on:

- Production planning
- Marketing coordination
- Cost control
- Quality management

Scope of Agribusiness

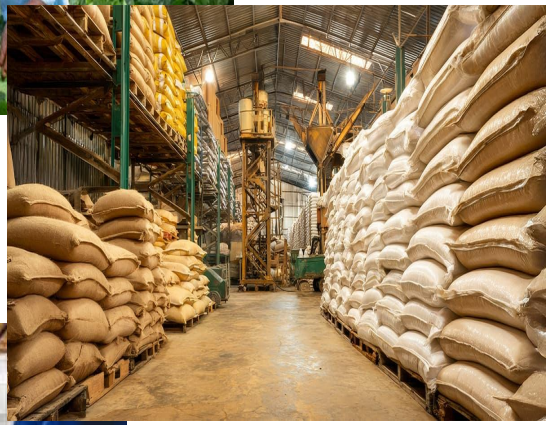
The scope of agribusiness includes:

- Input Supply Activities
- Farm Production Activities
- Food and Agro-Processing Activities
- Logistics and Marketing Activities
- Financial and Technical Support Services

Agribusiness:

- Extends beyond farming
- Includes manufacturing and services
- Links agriculture to industry







Scope of Agribusiness



Distinguishing Characteristics of Agribusiness Products and Markets

"Why is managing a maize farm harder than managing a clothing shop?"

- How would you respond as a manager?

Distinguishing Characteristics of Agribusiness Products and Markets

(i) Biological and Risky Production Processes

(ii) Seasonality and Uncertainty

(iii) High Perishability

(iv) Bulkiness and High Transport Costs

(v) Food as a Sensitive Product

(vi) Strong Government Intervention

(vii) Cultural and Religious Influences



For Example, Biological Risk and Seasonality

Biological Risk:

- Influenced by rainfall, temperature, pests, diseases
- Production highly uncertain

Seasonality

- Seasonal production vs continuous consumption
- Seasonal cash flows

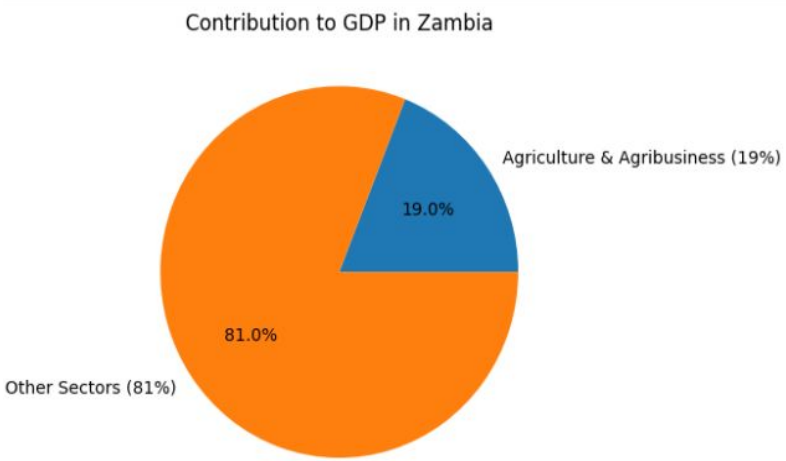
Importance of Agribusiness in Zambia

Agribusiness contributes to:

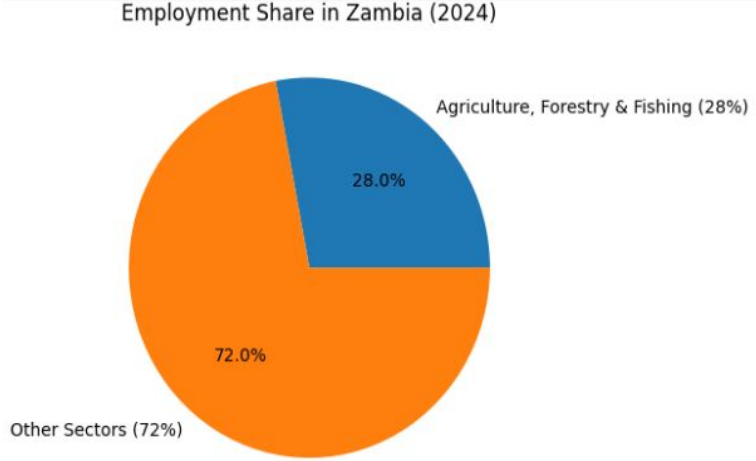
- Employment creation
- GDP
- Rural incomes
- Foreign exchange
- Food security
- Development of non-agricultural sectors

Employment and GDP Contribution

- Agriculture, forestry and fishing: 28% of total employment (2024)
- 18–20% contribution to GDP
- Major agro-processing industries: maize milling, sugar, edible oils, dairy



Source: World Bank (2023)

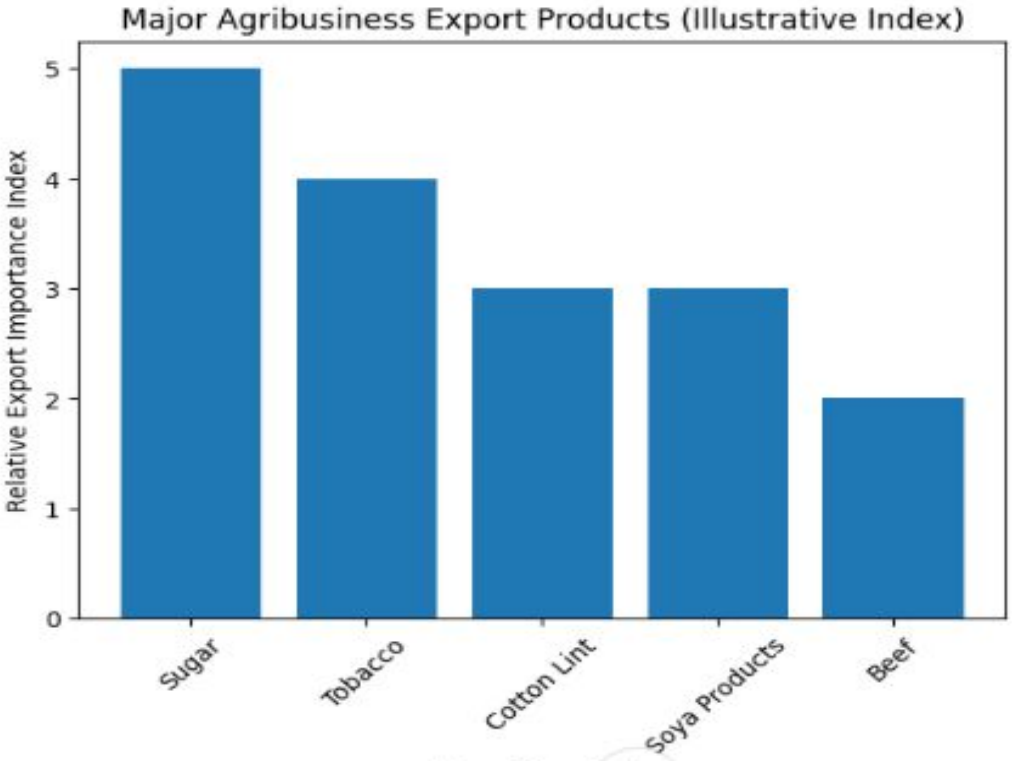


Source: Zambia Statistics Agency (2024)

Foreign Exchange and Linkages

Export products:

- Sugar
- Tobacco
- Cotton lint
- Soya products
- Floriculture
- Beef



Source: Zambia Statistics Agency 2023)

Development of Non-Agricultural Sectors

Backward linkages:

- Seeds
- Fertilizer
- Machinery
- Finance

Forward linkages:

- Processing
- Logistics
- Retail

Challenges Facing Agribusiness

(i) Climate variability

(ii) Limited access to finance

(iii) Inadequate infrastructure

(iv) High post-harvest losses

(v) Strong government intervention

(vi) Limited value addition

(vii) Weak market linkages

(viii) Land tenure constraints

(ix) Limited human capital



Challenges Facing Agribusiness

Activity: "You Are the Minister of Agriculture"

- Design ONE innovative solution on how to solve any of these challenges:

(i) Climate variability
(ii) Limited access to finance
(iii) Inadequate infrastructure
(iv) High post-harvest losses
(v) Strong government intervention
(vi) Limited value addition
(vii) Weak market linkages
(viii) Land tenure constraints
(ix) Limited human capital

Strategic Responses to Agribusiness Challenges

Need to plan for:

- Climate-smart agriculture
- Irrigation expansion
- Rural infrastructure development
- Predictable policies
- Value addition and export competitiveness
- Skills development
- Financial inclusion
- Risk management products

“Where do you see yourself in the agribusiness system?”

- Entrepreneur
- Policy maker
- Researcher
- Agro-processor
- Exporter
- Financial services
- Input supplier

Conclusion

- “Agribusiness feeds the nation, employs the people, drives industry and economic transformation.
- Agribusiness is not just farming; it is the backbone of development.”
- “If agribusiness failed, what would happen to Zambia?”

Multiple Choice Questions For Recap

1. According to Davis and Goldberg (1957), agribusiness refers to:

A. Farming activities only
B. Processing activities only
C. The sum total of all operations involved in farm supplies, production, processing, and distribution
D. Marketing of agricultural commodities only

Answer is C:The sum total of all operations involved in farm supplies, production, processing, and distribution.

Multiple Choice Questions For Recap

2. Agribusiness management is primarily concerned with:

A. Political control of agriculture

B. Application of management principles to the food and fibre system

C. Weather forecasting

D. Traditional farming practices

Answer is B: Application of management principles to the food and fibre system

Multiple Choice Questions For Recap

3. Which of the following is NOT part of the agribusiness system?

A. Input industries
B. Farm production
C. Agro-processing
D. Management firms

Answer is D: Management firms

Multiple Choice Questions For Recap

4. The agribusiness value chain begins with:

A. Marketing

B. Processing

C. Input supply

D. Consumption

Answer is C: Input supply

Multiple Choice Questions For Recap

Agribusiness was formally introduced in:

A. 1945

B. 1957

C. 1968

D. 1975

Answer is B: 1957

Multiple Choice Questions For Recap

Which stage is associated with mechanization and improved seeds (1950s–1970s)?

A. Globalization

B. Traditional agriculture

C. Commercialization

D. Modern agribusiness

Answer is C: Commercialization

Multiple Choice Questions For Recap

In Zambia, agriculture contributes approximately:

A. 5% of employment

B. 10% of employment

C. 28% of total employment

D. 50% of employment

Answer is C: 28% of total employment

Multiple Choice Questions For Recap

One distinguishing characteristic of agribusiness products is:

A. Permanence

B. Low government involvement

C. High perishability

D. Unlimited supply

Answer is C: High perishability

Multiple Choice Questions For Recap

Seasonality in agriculture mainly affects:

A. Office administration

B. Continuous production

C. Cash flow patterns

D. International law

Answer is C: Cash flow patterns

Multiple Choice Questions For Recap

Which of the following is a backward linkage?

A. Retail supermarket

B. Fertilizer supplier

C. Food processor

D. Consumer

Answer is B: Fertilizer supplier

The End